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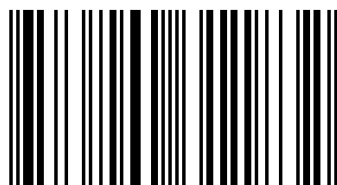


Edward Ssenyange

Enhancing Capacities for Citizen's Participation in Africa Oil Sector



Edward has 22 years of Development work with NGOs in Liberia, Sierra Leone, Uganda, and Tanzania. This includes private sector development work in poor countries to reduce poverty, strengthen economies, increase accountability and promote service delivery. He is currently spearheading a campaign for Africa to progress on SDGs achievement.



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**ENHANCING CAPACITIES FOR THE PROMOTION OF CITIZEN'S
PARTICIPATION IN THE OIL AND GAS SECTOR OF AFRICA-THE
CASE FOR UGANDA**

Quest for Inclusive Growth in Africa

FOR AUTHOR USE ONLY

**By Dr. Edward Ssenyange
(PhD Sustainable Development)**

ABSTRACT

Since 2006, Uganda is bracing itself for oil and gas production and engaged in preparing and signing Production Sharing Agreements (PSAs) with international companies. However, a major concern for oil sector stakeholders is the current low level of local gainful participation. This concern is heightened by the hard fact that the oil and gas resource is non-renewable. So implications are that for the time the resource exist, Uganda's socioeconomic setting must sustainably gain what could be described as an share. This study therefore was concerned with investigating ways and means in which the local companies and citizens participation could be promoted towards reaping maximum possible gains. Recommendations of a strategic nature are made to Government of Uganda (GoU) and other stakeholders as advocacy points prepared from gaps found to exist in policy and implementation. This will narrow existing gaps and fast-track a pragmatic enhancement of local sector players. The objectives of the study were: to determine capacity needs for local companies and citizens to gainfully participate in the oil and gas sector of Uganda; find out the extent to which existing legal and policy framework provides for the participation of nationals and local companies in the country's oil and gas sector; and to identify necessary strategies and actions for building capacities of nationals and local companies for gainful participation in the oil and gas sector. The conceptual framework presented dynamics of dependent and independent variables as well as the intervening variables. The independent variable considered was: Capacity Enhancement of local companies and citizens which comprised of: Skills development curriculum for Uganda nationals; Availability of Training and Support infrastructure for Uganda Citizens (in terms of Existence of Technical and Financial Capacity Enhancement facilities for local companies; Preferential tax regimes and other provisions providing for increased participation) capacity enhancement oriented towards increased participation of national and local companies. The dependent variable under consideration was: Participation of nationals in the Oil and Gas sector and for analysis, broken down into: the number of local companies participating in the Oil and Gas sector and the size of transactions accorded to citizens and local companies; and the number of citizens employed in oil and gas sector. Intervening variables under consideration were: Contract adherence by International Oil and Gas companies; and Readiness of National Oil and Gas Companies to embrace local participation. Literature reviewed was relevant to the working of the variables in the oil and gas dynamics in Uganda and partly in Nigeria. The research design opted was both qualitative and quantitative. Data collected from respondents was subjected to correlation analysis and represented in tables that revealed significant correlation between the variable selected. Factual data was also collected from respondents on strategic issues, synthesized and reported in this document. On the overall, the research design was guided by research objectives, questions and a problem. Out of a population size of 120 target respondents, a sample size of 115 was selected through stratified and purposive sampling was employed targeting: officials from Government Ministries Departments and Agencies (MDAs); Officials from Oil Exploration and Production Companies; citizens employed in the sector; members of sector civil society Advocacy groups; and members of parliament responsible for the Oil and gas sector. A pilot test was undertaken before a major launch of the main research to help check on the feasibility of the data collection tools. Cross tabulation was used to present data and analysis was by Microsoft excel and SPSS. Findings and recommendations constitute: needs assessment for the oil and gas sector by GoU machinery or perhaps through contracting experienced international auditing firms to accomplish the task; urgent curriculum development to allow for increased participation in the sector for citizens and local companies with suggested content as: health and safety skills broken down into: Emergency First Aid; Fire Training; Manual Handling Skills; Risk

Assessments; Working at Heights and Lifting Operations; Environment awareness and waste management; Forklift Operations; Telescopic Handler Operations; Mobile Scaffold; and Defensive Driving. It is recommended that local companies be equipped with sector Business Ethics (BE); Corporate Social Responsibility (CSR); and Exposure of local company operations successes in other oil resourced countries for the benefit of sharing and adoption of best practices. In the case of Training and Support Infrastructure for Capacitating Local Companies and Citizens Participation it is recommended that sector players led by Government build sector support infrastructure like schools, colleges, roads, communication, hospitals, and social protection institutions. Preferential tax regime and other fiscal provisions are proposed including: tax rates on profits and dividends; Tax holidays; Tax Credits and Aid; Accelerated Tax Depreciation; and Tax loss carry forward. In the case of Participation Ratios for Citizens and Local Companies it is recommended that ratios are continuously reviewed by the Parliamentary sector committee on oil and gas to reflect promotion of the desired accelerated participation nevertheless participation ratios should be increased to reasonable and safe rates as local participants gain experience. It is recommended that Sector Reviews be made regular to enable government build a database for gaps and action plans covering the entire sector in regard to promoting citizen's participation.

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LIST OF ACHRONYMS

BVET	Business Vocational Education and Training
CNOOC	China National Oil Offshore Corporation
GoU	Government of Uganda
IOCs	International Oil Companies
MDAs	Ministries Departments and Agencies
MEMD	Ministry of Energy and Mineral Development
MoES	Ministry of Education and Sports
NATOIL	National Oil Company
NCDC	National Curriculum Development Centre
NOGP	National Oil and Gas Policy
PAU	Petroleum Authority of Uganda
PoU	Parliament of Uganda
PSAs	Production Sharing Agreements
TEP	Total Exploration and Production
TUOP	Tullow Oil PTY Ltd
TVET	Technical Vocational Educational and Training
UNDP	United Nations Development Programme
UNOC	Uganda National Oil Company
NCDMB	Content Monitoring and Development Board
NOGICD	Nigerian Oil and Gas Local Content Development Act

CHAPTER ONE

INTRODUCTION

1.1 Introduction

This chapter presents the background to the study, problem statement, research objectives, research questions, scope of the study, significance of the study and the conceptual frame work as a springboard to the proposed research. This research tackles the present but is also futuristic and analyses the different policy and legal provisions and how they will contribute to delineation of local content in the oil and gas sector as well as identifying gaps that need to be addressed.

1.2 Background to the Study

According to Ministry of Energy and Mineral Development (2017), during the year 2006, Uganda announced the existence of commercially viable petroleum deposits. Since this announcement, a lot of efforts have been made in developing policies, bills, and enacting laws able to regulate and promote the oil sector in Uganda. One major concern of oil sector stakeholders including Civil Society Organizations, Development Partners, and Academia is the low citizen's participation and economic benefits. Concerns have been raised on whether the sector can provide employment for citizens, use locally produced goods and services as well as exploit local resources to transfer technology that can kick start other sectors of the economy. The debate has tended to be around local content and how much local content will be utilized by the sector, Uganda Chamber of Petroleum and Mines (2017).

On the other hand the debate has been on whether there is enough local capacity to address employment, technology and service needs available in the oil and gas sector. Questions have also been raised on standards of locally produced goods and services and whether they can meet the demands of the industry. On the overall, there is an agreement between Government of Uganda and Oil companies to involve Ugandans in terms of employing Ugandans and according them supply contracts for goods and services, Action Coalition for Development and Environment (2012).

Many countries engaged in oil and gas production or mining are introducing provisions for the participation of nationals commonly referred to as 'local content', Cogan a. ibid and Cunningham.j.v (2012) particularly in developing countries of Africa, Asia and Latin America.

Local content policy is normally meant to provide oil sector regulatory measures that focus on increasing use of the locally available labor, technology and other resources by sector companies. Policy provisions also place focus on possibilities for transfer of technology by international companies engaged in the extractive resource sector to the native people of a particular nation with the assurance of incomes, employment and ultimately sustainable development, Cnooc, Total and Tullow (2015). The origins of local content was a result of findings that in many resource rich developing countries find themselves at a loss after years of exploitation with insignificant impact from the seemingly colossal gains of the oil sector particularly gains to citizens. Many citizens of resource-rich countries especially in the developing world tend to be mere spectators. This trend continues to exist in spite of the fact that many mining and petroleum companies in the developing world are given incentives such as tax holidays with a hope that they will be able to exploit the resource, provide employment for the natives and develop infrastructure which would enable the economy to develop. It is important therefore that Uganda should not fall prey to such a trend and strive to make a difference.

After the Uganda government pronouncement of the existence of commercially viable quantities of petroleum in the Albertine Region of the country, citizens developed great expectations about benefits to everyone and the economy. For this to happen, government would have to formulate and implement appropriate policies to ensure that benefits trickle down to all citizens and benefit all sectors of the economy so that by the time the oil resource is exhausted, the Uganda economy would be running at a more advanced level. Such a goal requires sound management of the oil resource and it is a crucial matter because the Dutch Disease which is characteristic of many oil producing countries in the developing world must be avoided, Peter Matthew and Matthew Lynch (2016).

The Dutch Disease is a term used to describe resource rich countries suffering underdevelopment with several of their citizens suffering poverty. So production and export of Oil and Gas generate national revenues that do not translate into economic development. Actually, the party that seems to benefit the most is rich international oil companies. Evidence is that not even the other sectors of such economies have been integrated into the benefit which further perpetuates economic stress, Collier, P. (2015, 2010). Many scholars have argued that the 'Dutch disease' and resource conflicts are basically a result of poor management of resources in the country. The failure to exploit oil resources sustainably and enable citizens participate in decision making, employment and fair sharing of benefits are

a serious cause of social conflicts emanating from natural resource endowments, Thomas Welber, (2015). Thus governments of resource rich countries have a role in ensuring that they link natural resource exploitation with other sectors of the economy like agriculture, tourism and industrial development in which the majority of the population are active. The lack of participation of citizens in the exploitation and use of the natural resources greatly encumbers the trickle-down effect of a resource benefits consequently resulting in negative effects to the economy, Cunningham J.V (2014). In light of this, Government of Uganda has in place the National Oil and Gas Policy (NOGP); upstream and midstream laws to govern and regulate the oil and gas sector however, such policies and laws should provide for citizen's participation and safeguard the national interests in every oil and gas transaction.

1.3 Problem statement

Despite the provisions of the Petroleum (Exploration and Development) Act, 2013 (upstream law) and the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act 13 (Midstream law) to ensure training and employment of Ugandans no visible progress is being made. The two laws provide for training and employment of Ugandans in the sector during oil exploration and production. So the plan to train Ugandans is one of the conditions for which a license is granted. However there is no evidence that this is neither happening nor existence of strategies to ensure that oil companies are followed-up by regulatory bodies to ensure training of Ugandans as agreed.

The upstream and midstream laws also require companies to submit to the Petroleum Authority of Uganda a detailed programme for recruitment and training of Ugandans every year for approval. What is not clear from the law is how the approved plans for training Ugandans will be followed through and whether there are any forms of penalties for companies that fail to meet their obligations under the approved plan or the plan submitted during application for a license.

The above notwithstanding, there are glaring gaps in Uganda's education sector because tertiary institutions are not producing the necessary and sufficient human resource for the oil and gas sector. Government of Uganda too, does not seem to have a manpower planning tool able to determine the kind of capacity is needed for the sector and whether the training programs submitted by oil companies and tertiary institutions will be able to meet these capacity needs. Also there is no link between the Petroleum Authority which is the main regulatory agency and the Ministry of Education and Sports and the National Curriculum Development Centre to develop training content that will enable Ugandans to acquire gainful employment and service delivery

opportunities in the sector. So it can be asserted that at present, there is no proper system or institution charged with vetting the kind of training Ugandans need in relation to oil and gas. Most of the training is based on individual institutional choice of training programs. Additionally, there is no mechanism in place to direct company scholarship opportunities to building skills of indigenous persons relating to gainful engagement in the oil sector.

1.4 Purpose of the Study

This research is to assess the legal and policy approaches so far adopted in ensuring the participation of Ugandans in the oil and gas sector. The research is also to assess the standards set in the Oil and Gas Policy, 2008, the Petroleum (Exploration, Development and Production) Act, 2013 and Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act, 2013 which are the major instruments governing the petroleum sector in Uganda. To also look at standards and approaches adopted by other countries in Africa and major commercial institutions.

1.5 Study Objectives

Determine capacity needs for local companies and citizens to gainfully participate in the oil and gas sector of Uganda

Find out the extent to which existing legal and policy framework provides for the participation nationals and local companies in the country's oil and gas sector

Identify necessary strategies and actions for building capacities of nationals and local companies for participation in the oil and gas sector

1.6 Research Questions

What are the capacity needs for local companies and citizens to gainfully participate in the oil and gas sector of Uganda?

What is the extent to which existing legal and policy framework provides for the participation nationals and local companies in the country's oil and gas sector

What are the necessary strategies and actions for building capacities of nationals and local companies for participation in the oil and gas sector?

1.7 Scope of the Study

This study concerns itself with enhancing citizen's capacities for the participation of Uganda nationals in the oil and sector.

1.7.1 Geographical Scope, Time Scope and Subject Scope

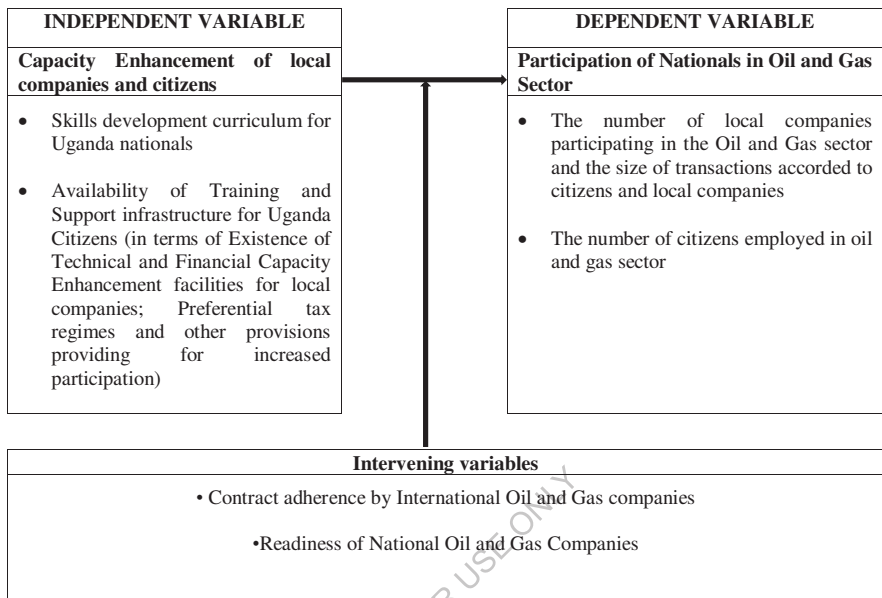
The study focuses on Uganda Oil and Gas Sector but reference will also be made to experiences in other oil resourced Sub-Saharan Africa country's policies and modes of operation like Nigeria relevant to the subject matter. Research shall be carried out for a period of four months from September to December 2017 while activities and statistics for the period running from 2006 to 2016 will be examined. The study intends to review sector policies and identify gaps that are important for enabling Ugandans and indigenous companies to participate in the oil and gas sector. Reference will also be made to contracts, regulations and laws pertinent to the sector.

1.8 Significance of the Study

The findings of the study will help managers of oil companies, regulators for example Petroleum Authority of Uganda (PAU), Parliament of Uganda (PoU) and many interested stakeholders to have a better understanding of factors of importance in enhancing the participation of nationals in Uganda's oil sector. Proposed remedies and action points will be useful to parliamentarians and other lobbyists working towards in reaching the benefits accruing to nationals of the petroleum sector.

1.9 Conceptual frame work

The conceptual framework presents the study framework in terms of identification of the relationship and dynamics involving dependent and independent variables as well as the intervening variables. The independent variable which is capacity enhancement must exist, work well, in order to impact positively on citizen's participation in Uganda oil and gas sector. **The independent variable, 'capacity enhancement'** will be analyzed in terms of: skills development curriculum for Uganda nationals; Availability of Training infrastructure for Uganda Citizens; Existence of Technical and Financial Capacity Enhancement facilities for local companies; Preferential tax regimes and other provisions providing for increased participation. **The dependent variable, 'Participation of Nationals in Oil and Gas Sector'** will be analyzed in terms of: The number of local companies participating in the Oil and Gas sector; The number of citizens employed in oil and gas sector; and The size of incomes and Business transactions accorded to citizens and local companies. However citizen's participation is affected by exogenous factors like: Policy and Contract adherence by International Oil and Gas companies; Readiness of National Oil and Gas Companies; (Muhwezi el-et al 2009)



CHAPTER TWO

LITERATURE REVIEW

2.1 Introduction

In reviewing the relevant literature and documentation on the subject of enhancing national participation for promotion of Ugandans in oil and gas sector, the author seeks to acknowledge the ideas of other authors and add or bring to light the set of components and their variables that affect participation of Ugandans in oil and gas sector.

2.2 Concepts of Local Content and Citizens Participation

According to Cunningham (2012), Citizen Participation in oil and gas sector has become a slogan of sorts across many countries in Africa. Different countries have made laws and policies to provide for local content where citizens can be employed, provide services or get a direct benefit from the sector. However what many countries have not done is to pragmatically increase citizen participation. There is often confusion when it comes to discussion of citizen participation as a concept and issues of local content. Whereas citizens can participate through local content, it is rather one of the forms of participation but not sufficient. It would therefore be deficient to conclude that there is citizen participation just because there exists local content law and policies. Basically, citizen participation involves processes that provide for individuals in a community with an opportunity to influence public decisions that affect them.

According to Cogan, A. Sharpe, and S. & Hertzberg (2014), the definition can further be extended to include the process in which ordinary people take part – whether on a voluntary or obligatory basis and whether acting alone or as part of a group – with the goal of influencing a decision involving significant choices that will affect their community. Citizen participation involves a wide range of activities and systems ensuring that views of indigenous individuals are included in decision making processes. The term citizen participation involves two important items namely; the citizen participation and stakeholder participation. Used in strict sense, citizen participation would mean only citizens of a country take part in the decision-making processes. However this is not always the case since there are non-citizens engaged in the sector and entitled to expression.

According to Cunningham J. (2014), various scholars tend to suggest that citizen participation should factor into the equation, needy persons and shift from the legal definitions of citizenship.

In other words, citizen participation has been described as also focusing on members of the community who have no formal source of power except their majority numbers (the ordinary person in society) and are only able to exercise power at the lower level normally community level (power relations between the led and the leaders) and making decisions involving a significant number of community members. Other scholars like Mathew and Cogan (2015), have argued that participation should focus on getting local ownership of projects and other forms of interventions that increases participation of residents as opposed to citizens. In simple terms, citizen participation involves power relations between members of a community and their leaders and the ability of that community irrespective of where it is located to take part in decisions and activities that affect them.

Sharp A. (2012) holds that Participation on the other hand involves taking part in processes that lead to the decision or taking part in arriving at the decision itself. This does not mean the individual's views have been taken up but rather the individual's views were considered in the process of arriving at a decision. Such a kind of participation can be direct for instance, taking part in an election or being part of a meeting that arrived at a decision or even indirectly through a representative. This can range from national or regional representation such as parliament to representation at a lower level such as village council or family.

From the above definitions, it is important to appreciate that citizen participation is a much broader concept that may include various democratic processes for a country. In Uganda's case, these may include a wide range of systems from electoral democracy and governance such as central or local government to group formation, role of voluntary associations and how different players in society are contributing to the oil and gas sector. It is important to note that there is a tendency to mix local content and citizen participation in Uganda. A lot of communication tends to claim that there is promotion of citizen participation through local content, which is not the case. Many times, local content limits itself to employment of citizens, transfer of technology and service provision leaving out the most important aspect of citizen participation which is participation in decision making. From the many policy and legal documents in Uganda, there is actually local content as opposed to citizen participation. This research focuses on promoting Citizens participation through decision making and local content aspects like goods and service provision, employment opportunities, technological transfer, various means including local content in Uganda's oil and gas sector as opposed to citizen participation.

2.3 Oil and Gas Local Content in the Promotion of Citizens Participation in Uganda

According to Uganda Oil and Gas sector policy documents (2008), local content in the oil and gas sector broadly focuses on involving citizens in the sector. This is through training and building capacity for citizens, technology transfer, and employment and service provision. Given the fact that Uganda's oil and gas sector is in its infancy, there is need to exert enhanced deliberate efforts to ensure that citizens competitively take part in the sector through exploitation of the existing and emerging opportunities. One of the ways has been through government providing for Ugandans to take part in the sector. Government has enacted policies and laws that ensure citizens take part in the oil and gas sector. However, there exists gaps in Uganda's laws which is one of the reasons for this research in order to identify gaps and find practicable recommendations.

2.4 Local Content: Case for Nigeria

In April 2010, President Goodluck Jonathan signed the NOGICD Act into law. The NOGICD Act gives first consideration for awards of oil blocks, oil fields, and oil lifting to "Nigerian independent operators"; gives exclusive consideration to Nigerian indigenous service companies that meet certain conditions to bid on land and swamp operating areas; and creates the Nigerian Content Monitoring and Development Board (NCDMB) to enforce compliance with the act and build Nigerian capacity to participate in the oil and gas industry. All exploration and production companies are required to submit Nigerian content plans for all bidding on tenders in the industry and comply with a series of regulations designed to domicile manufacturing and services relating to the oil and gas industry in-country. Among the NOGICD Act's most controversial measures is a stipulation of a maximum of 5% of management positions for expatriate workers and a Schedule containing minimum levels of Nigerian content in any project. This schedule sets minimum targets in engineering, fabrication, materials and procurement, services, research and development, shipping and logistics, and many other categories. Included in the Nigerian content regulations are also minimum levels of Nigerian content in finance, including 100% of general banking services, 70% of monetary intermediation, and 50% of the amount of loans for credit. Finally, the NOGICD Act also gives the NCDMB authority to hand out hefty penalties – 5% of the project sum for each project or cancellation of the project

2.5 Skills Development Curriculum in the Promotion of Citizens Participation in Uganda

According to Peter Magelah Gwayaka (2013), gainful participation of citizens in the oil and gas sector requires a skills development curriculum and training of citizens to work in the sector. It

thus paramount that a needs assessment be done to help orient skills building towards direct employment in the sector as well as provision of auxiliary services. As hinted above, participation and growth in the oil sector has to go hand in hand with the same efforts in other sectors. This helps to hedge against sole reliance on the oil and gas sector.

The National Oil and Gas Policy (NOGP), 2008, recognizes the need for national participation through employment, training and skills development and service provision in the sector. Under its objective 7, the NOGP seeks to ensure optimum national participation in oil and gas activities. Similarly, objective 8 of the NOGP seeks to support strategies for development and maintenance of national expertise in the oil and gas sector.

Some of the strategies that can be used to achieve the above objectives include Promotion of state participation in Production Sharing Agreements (PSAs). This could provide better thrust for sector government Ministries, Departments and Agencies (MDAs) towards understanding the premises of decision making in the exploration, development and production of oil and gas. In the event that this happens, it will impact on skills development at Business Vocational Education and Training (BTVET) and the En-Skilling Uganda Strategic Plan 2011-2020 which includes a focus on the oil and gas sector. The two documents borrow from the Oil and Gas sector Draft According to JA Mwakali (2014), the Oil and Gas Policy is in part designed to develop demand-responsive, employable skills and competencies relevant to the labor market needs for Uganda. BTVET training in Uganda is supposed to be achieved through the creation of a Center of Excellence within the Petroleum Sector. However, there still exist gaps in the BTVET policy and Strategic Plan so Government Executive arm in Uganda considered a proposed En-skilling Uganda Technical, Vocational Education and Training (TVET) Reform Policy. The Reform Policy seeks to provide and enable technical institutes and polytechnic colleges provide tailored vocational training based on industrial needs of specific sectors. At present this is not possible since all training institutes have to follow a curriculum approved by Ministry of Education and Sports (MoES) and the Curriculum Development Centre which has not happened. There have been attempts to reform BTVET training in Uganda to focus on oil and gas.

2.6 Training Infrastructure in Promotion of Citizens Participation in Uganda

According to Uganda Investment Authority ((2008), a training infrastructure is vital for enabling a human resource to productively participate in a sector to the advantage of all parties. So the

capacity of vocational training in any country has to be strengthened. A large part of the workforce needed by the oil and gas sector companies i.e. companies and subcontractors are skilled and semi-skilled with vocational training background. For Uganda, the capacity and competence of such institutions should be prioritized and improved and this is primarily a responsibility of the Government. It is recognized however, that these institutions are not likely to satisfy the skills gap demand if all the responsibility is left to government. Hence, it is recommended that the Government seeks collaborations with development partners and international institutions under various protocols that may be bilateral, multi-lateral or with the oil companies to accelerate progress.

According to JA Mwakali(2014), proactive approaches include provisions in PSAs to establish training Centers by International Oil Companies (IOCs). Even with the strengthening of the public vocational training as recommended above, this educational channel will only meet a minor part of the nature of demand and particularly at the beginning of the oil sector development phase. To be able to ensure that a larger part of the workforce are local, it will require that Ugandans accorded opportunity of employment and service delivery are oriented to productivity, efficiency and effectiveness.

As a commencement of capacity enhancement in Uganda, the Pioneer University at Makerere is running a BSc (Bachelor of Science Degree) course in Petroleum Geosciences and is in the process of establishing an MSc (Master of Science Degree) curriculum for Geosciences Education. A new private University, Victoria University also runs a BSc(Bachelor of Science Degree) in oil and gas accounting as well as a Certificate course in Oil and Gas Management.

2.7 Existence of Technical and Financial Capacity Enhancement for Local Companies in Uganda

According to Uganda Investment Authority (2013), Uganda companies have serious technical and financial capacity gaps for engagement in the oil and gas sector. So to encounter this, the law on local content provides for joint venture partnerships between local companies and international oil companies seeking to invest in the oil and gas sector. The other approach is what is known as the national content and prioritizes employment opportunities to Ugandans and Ugandan firms with infrastructure in Uganda. Under this arrangement, GoU requires a majority share of the expenses

incurred on procurements to pertain to goods and services obtained from the local market. This serves to bolster joint ventures of Ugandans firms with leading international oil companies. This approach no doubt builds local capacities from several dimensions over and above employment opportunities and extends to increased sector exposure and efficiencies.

Giving national content higher priority ,goods and services will be provided at higher costs than necessary ,profits in consequence increase ,so does tax revenue ,implying that the government will be with much revenue at its disposal which will be invested in long lasting ventures like roads and electricity. Therefore, Uganda should combine these two approaches as industrial development is enhanced through national content development, while oil industry is sufficiently taxed to provide more resources to support private sector for development in general .Additionally, government of Uganda is seeking to build technical capacity through BTJET policy. Government of Uganda (GoU) is also pursuing partnerships with international institutions to help train Ugandans specifically in areas of oil and gas.

According to James Van Alstine (2015), the financial vulnerability of local companies in Uganda is that there is hardly a strong development institution that can single handedly support local companies to invest and prosper in the oil and gas sector. It is also noted that Oil and Gas investments are risky and mature in the long term rather than the short term and as such, have to be sourced from a Development Bank rather than from a Commercial Bank. Development Banks often have facilities tailored to particular needs of Companies in the specific development sector. In the case of the oil sector, investments are followed by exploration, production, and processing which all takes quite a long time.

2.8 Tax Policy for Promotion of Citizens Participation in Uganda

According to JA Mwakali (2016), government focus to revenue maximization is prioritization to economic efficiency when dealing with extraction of oil and gas, resource development into products, and distribution of sector benefits. So in Principle, it is in government's interest to broaden the sector tax base through avenues like increasing sector participation of citizens. At the same time, developing local sector capacities increases optimum resource use, innovations towards diversified use of byproducts in terms of industrial investments – all impacting on a widened tax base.

2.9 Participation of Nationals in Oil and Gas Sector in Uganda

According to Auditor General (2015), the Government of Uganda has exercised its right to participate directly in the oil and gas industry by opting for a 15% share in the Production License so far awarded. In future Cabinet will be deciding the levels of participation. However, government has not developed criteria for determining and justifying what levels are optimal. This exposes the process to subjectivity, presenting a risk of inadequate benefits from state participation.

2.9.1 Participation and Size of Transactions accorded to Local Companies in the Oil and Gas sector in Uganda

According to Association of oil and gas Suppliers (2016) there thirty local oil and gas companies engaged in service provision in oil and gas. According to Auditor General,(2015), The value of procurements from Ugandan service providers in the oil and gas sector for the period 2010-2013 amounted to USD 329.9 million. This represents 28% of the total spend for all the companies (USD 1,171.8 million) yet the Ugandan companies comprised almost 73% of approved suppliers. Hardly any purchases were made from host communities. Without national content targets, standardized procurement procedures and clear definitions of Ugandan companies/goods, such levels of local procurements companies are difficult to monitor and evaluate. There is also inadequate supplier development to enhance the capacity of local service providers to participate in the sector.

2.9.2 Citizens Employment Status in Oil and Gas Sector of Uganda

According to Auditor General (2015), overall, the proportion of Ugandans employed in the oil and gas sector directly by the oil companies rose from 69% in 2012 to 80% in 2014, although absolute numbers dropped over the same period. However, no special consideration is given to host communities or women during the recruitment of skilled personnel. According to Auditor General, as at December 2014, women accounted for 30%, 37% and 23% of the staff at China National Offshore Oil Corporation (CNOOC) Uganda Ltd., Total E&P (TEP) Uganda and Tullow Uganda Operations Pty (TUOP) Ltd. respectively. A wide range in the wage differentials between the nationals and expatriate staff is also noted. In some cases expatriates, on average, earn between 5 to 10 times more than nationals (CNOOC & TEP). TUOP has more Ugandan nationals in managerial positions than TEP and CNOOC. For employees in middle management, the average ratio of an expatriate's salary to a national's stood at 3:1, 7:1 and 6:1 for TUOP, TEP and CNOOC,

respectively. This is due to the gaps that do exist in local content policy which the Author seeks to address.

2.10 Intervening Variables

2.10.1 Contract adherence by International Oil and Gas companies

According to Ministry of Energy and Mineral Development (2016), Exploration and Production companies are to submit local content reports to the ministry but it is worth to note that this is not implemented contrary to the law. It is also noted that all oil companies have different formats of reporting, making it difficult to track, analyze and compare performance between the different players. The companies also do not adequately collect, verify and report on the implementation of national content by their sub-contractors. For the reports that are submitted by the companies, there has been no systematic evaluation by Petroleum Exploration and Production Department (PEPD) in terms of frequency of submission, response period, or follow-up to ensure that specific issues are addressed because that is not provided for in the law. The coordination efforts by all the institutions charged with promoting national content is not formalized to ensure a holistic intervention by government. According to Auditor General (2015), some expatriates are recruited without proper justification, some overstay past the due date for nationalization of their positions while others work without work permits. Whereas all the oil companies must make efforts to train their Ugandan staff as required by the law, none fully utilizes its training budgets. Thus the objective of involving more Ugandan nationals in the oil and gas sector may be delayed as identified training gaps are not addressed.

2.10.2 Readiness of National Oil and Gas Companies to Promote the Participation of Citizens in the Oil and Gas Sector

According to Ministry of Energy and Mineral Development (2016), Uganda National Oil Company (UNOC) was established under Section 42 of the Petroleum (Exploration, Development and Production) Act and Section 7 of the Petroleum (Refining, Conversion, Transmission and Midstream Storage) Act, both of 2013. UNOC was incorporated under the Company's Act of 2012 as a limited liability company wholly owned by the Government of Uganda. Our overall function is to handle the State's Commercial interests in the petroleum sector and to ensure that the resource is exploited in a sustainable manner. UNOC is also mandated to investigate and propose new upstream, midstream and downstream ventures initially locally and eventually internationally. In

line with this mandate, UNOC plans to start new upstream ventures and is currently review data relating to some prospects in *Albertine Graben*. In addition, UNOC has ongoing and future midstream and downstream operations. With all the responsibilities, UNOC does not have the expertise and financial capacity to undertake these developments thereby relying on the international firms who come with expatriates thereby leaving out Ugandans.

2.11 Research Gaps

The following research gaps were identified after an extensive literature review in the field of local content, policy issues and regulatory requirements performance.

Most of the studies on local content, policy issues and regulatory requirements have been undertaken not focusing on citizen participation but rather on benefits accruing from local content only. There is not much research work carried out in the context of local content focusing on citizen participation

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CHAPTER THREE METHODOLOGY

3.1 Introduction

This chapter presents the research design utilized to collect, present, analyze and interpret information or data. Hence mention is made of: variables for the analysis; the targeted sample population; sample size; data collection tools; data source; study type and anticipated challenges.

3.2 Research Design

According to Cooper 2006, a research design ensures that the research problem is addressed effectively and this is because it acts as an overall strategy that integrates the various components of the study in a logical and coherent way. The descriptive research design aims at establishing the existence of a variable which is understood to be a factor that can change. In general the study will employ mixed research design comprised of descriptive approaches, correlational analysis and intuitive reviews. A perception study will be carried out across all strata in order to collect experiences and associated views.

3.3 Variables for the Study

The variables under study are independent, dependent and intervening variables. The independent variable is the capacity of citizens and local companies, while the dependent variable is the participation of citizens and local companies in the oil and gas sector.

The content for the independent variable consists of: Skills development curriculum for Uganda nationals; and availability of training infrastructure for Uganda Citizens and local companies in terms of existence of technical and financial capacity enhancement facilities; preferential tax regimes and other provisions providing for increased participation. The content for the dependent variable comprises of: the number of local companies participating in the Oil and Gas sector and the size of transactions accorded to citizens and local companies; and the number of citizens employed in oil and gas sector. However, there exist endogenous factors that affect the relationship between the independent and dependent variables found to be: contract adherence by international oil and gas companies; and readiness of national oil and gas companies to provide space for the participation of local companies and citizens.

3.4 Sample Population

The study targets the oil and gas sector of Uganda with specific focus on the current actors and local companies as well as citizens with the potential of participating and sharing in sector gains. In this regard, 120 persons and entities are targeted as respondents for the research. These comprise: Officials from government ministries departments and Agencies (MDAs); Officials from Oil Exploration and Production Companies; Citizens employed in the sector; Citizens from local communities; Academia and Research Agencies; Members of sector Civil Society Advocacy groups; Members of indigenous Private Sector Companies engaged in oil and gas; Members of parliament responsible for the oil and gas sector and other initiative enlisting interested and participating Ugandans and associated skills needs for the sector i.e. Cooper and Lybrand – CNOOC Initiative; and Development partners interested in the sector.

3.5 Sample size

The term sample size refers to a segment of a large population which is selected to represent the entire population as a whole (levy and lemeshow, 2013). From a population of 120, a sample size of 115 respondents will be selected to guarantee 95% confidence level, allowing 1.96 margin of error.

$$\text{Sample Size} = \frac{\frac{z^2 \times p(1-p)}{e^2}}{1 + \left(\frac{z^2 \times p(1-p)}{e^2 N} \right)}$$

Population Size = N | Margin of error = e | z-score = z (<https://www.surveymonkey.com/mp/sample-size-calculator/>)

3.6 Sample Selection

Elements of the sample are selected by using two main approaches i.e. purposive and random sampling. Purposive sampling is relevant for ensuring that all segments of the sample population mentioned above are involved in the research as well as key decision makers as well as policy makers. Random sampling is useful among potential employees and companies for the sector. The table below itemizes the sample population.

Table 3.1.Sample Selection Content

No.	Stratum	Number of respondents
1	Officials from government ministries departments and Agencies (MDAs)	10
2	Officials from Oil Exploration and Production Companies	10
3	Citizens employed in the sector	10
4	Citizens from local communities	40
5	Academia and Research Agencies	05
6	Members of sector Civil Society Advocacy groups	10
7	Members of indigenous Private Sector Companies engaged in oil and gas	10
8	Members of parliament responsible for the oil and gas sector and other initiative enlisting interested and participating Ugandans and associated skills needs for the sector i.e. Cooper and Lybrand – CNOOC Initiative	10
9	Development partners for Uganda	10
	Total	115

Source: primary data, 2017

3.7Data Sources and Collection Methods

Cooper and Schindler (2006) states that data refers to facts and perceptions emanating from real-life experiences collected from respondents. Data for the study will be both primary and secondary. Secondary data will be sourced from sector reports of GoU, Development Partners like UNDP, Analysis Reports by Academia and Parliament Sector Committee Reports, Sector Civil Society Advocacy Documents. Primary data shall be sourced from the various stratum mentioned in table 3.1 above.

3.8 Data Collection Tools

The research will utilize questionnaires and interview methods for data collection. Questionnaires will be highly useful for all sections 1-9 in table 3.1 above. However, experience with respondents from any of the sections may manifest risks of none or late responsiveness. In such cases, interview method will be used.

3.9 Research Procedures

A pilot survey shall be carried out before coming up with the final questionnaire. According to Cunningham (2012), a pilot test is defined as a means of finding out if a survey, key informant interview guide or observation form will be effective in generating the required information by first trying it out on a few people. Through this, the clarity of questions and precision are evaluated (Levy and Lemeshow, (2013) and in case there is need, amendments are made before launching the full scale research. In addition, the pilot test also reveals the validity of the respondents.

3.10 Data Presentation, Analysis and Interpretation

Data will be tabulated and associated graphs will be derived to show trends and performance. Analysis tools will mainly be Microsoft excel and SPSS. Results of this will form a basis for interpretation and strategic recommendations.

3.11 Anticipated Limitations and Mitigations

The targeted respondents for the research are personalities with busy schedules and sometimes work abroad. It is thus envisaged that this may impact on responsiveness since it is not likely that they may dedicate sufficient time for the research. However, the researcher intends to mitigate this challenge through regular and kind reminders to respondents as well as emphasizing the advantages of the research to all sector actors. Also it will be useful to secure appointments in advance of the interview sessions as well as secure confirmations which are a matter that has cost implications.

CHAPTER FOUR

PRESENTATION AND INTERPRETATION OF FINDINGS

4.0 Introduction

This chapter presents: demographics of respondents (i.e. Gender, Age, Marital Status, Level of Education), findings on the independent variables (i.e. Skills development curriculum for Uganda nationals, availability of Training infrastructure for Uganda Citizens and findings on the intervening variables (i.e. Contract adherence by International Oil and Gas companies and readiness of National Oil and Gas Companies to promote participation of citizens in oil and gas sector. All these impact on the dependent variable which is broken down into the number of local companies participating in the Oil and Gas sector and the size of transactions accorded to citizens and local companies, and the number of citizens employed in oil and gas sector.

4.1 Characteristics of Respondents

The respondent's bio data was analyzed in terms of gender, age distribution, level of education, marital status, and type of enterprise in order to determine their contribution to the topic of study.

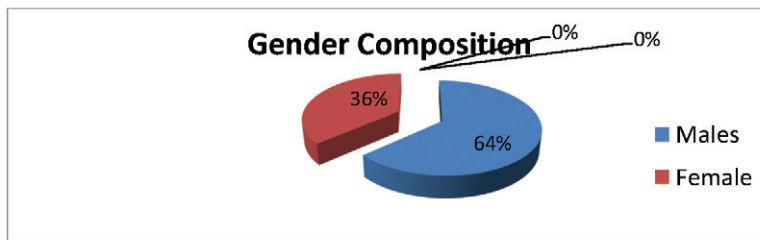
4.1.1 Gender of the Respondents

Table 4.1.1 Gender of the Respondents

Gender	Frequency	Percent	Cumulative Percent
Male	73.0	64.0	64.0
Female	42.0	36.0	100.0
Total	115	100.0	

Source: Primary data (2017) from respondent questionnaires

Pie Chart 4.1.1 Analysis of Gender of Respondents



Pie Chart 4.1.1 analyses respondent genders as being 36% females and 64% males. It was found useful to collect data from both genders to aid in any analysis that may be necessary respective to gender and in anticipation of specific challenges faced by the different gender categories in the oil and gas sector

4.1.2 The Age group of the Respondents

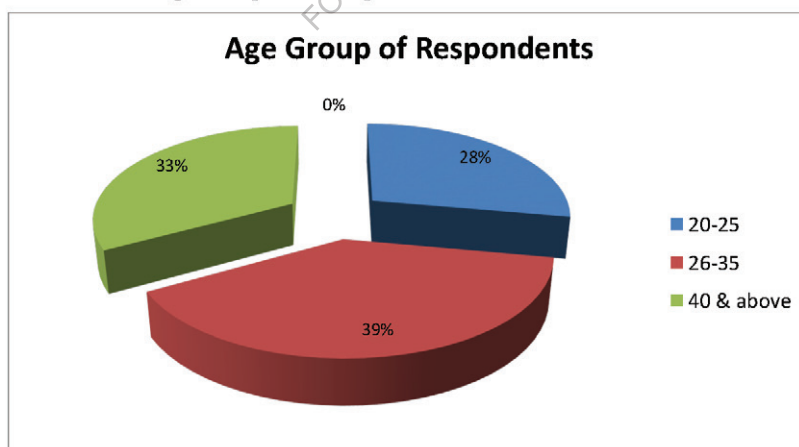
It was also found useful to categorize respondents according to age groups in order to capture specific issues respective to age differences. Below is an analysis of age group data.

Table: 4.1.2 Age group of Respondents

Age Group	Frequency	Percent	Cumulative Percent
20-25	32.0	27.0	27.0
26-35	45.0	39.0	66.0
40 above	38.0	34.0	100.0
Total	115.0	100.0	

Source: Primary data (2017)

Pie Chart 4.1.2 Age-Group of the Respondents



Source: Primary data (2017)

Analysis of the pie chart 4.1.2 reveals that: 39% of respondents were between 26-35 years of age; 28% were between20-25 and 33% were above 40 years. Again, this information is important since the different age categories may have peculiar experiences to share, relevant to the Oil and Gas sector.

4.1.3 Marital Status of the Respondents.

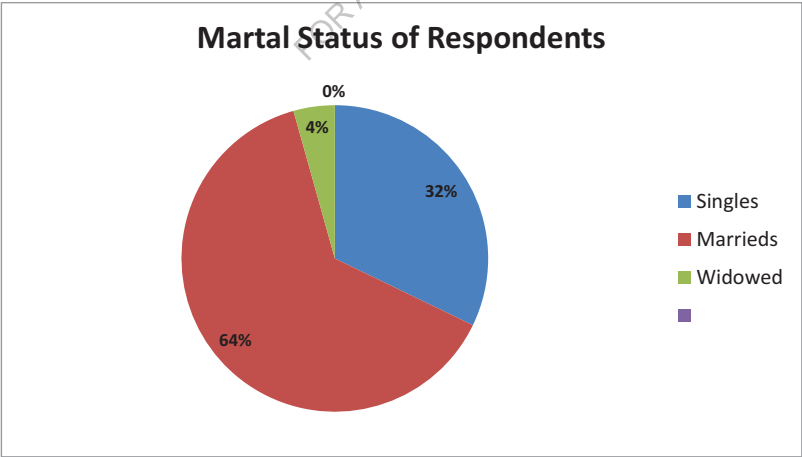
Data was also analyzed on the basis of marital status since it is possible that advantages or challenges would accrue to men and women belonging to this category differently.

Table: 4.1.3. Marital Status of Respondents

	Frequency	Percent	Cumulative Percent
Single	37	32.0	32
Married	73	64.0	96
Widowed	5	4.0	100
Total	115	100.0	

Source: Primary data (2017)

Pie Chart 4.1.3 Marital Status of the Respondents



Source: Primary data (2017)

Pie-Chart 4.1.3 analyses respondents' marital status as married being 64%, Singles being 32%, while widowed were 4%.

4.1.4 Education Level of Respondents

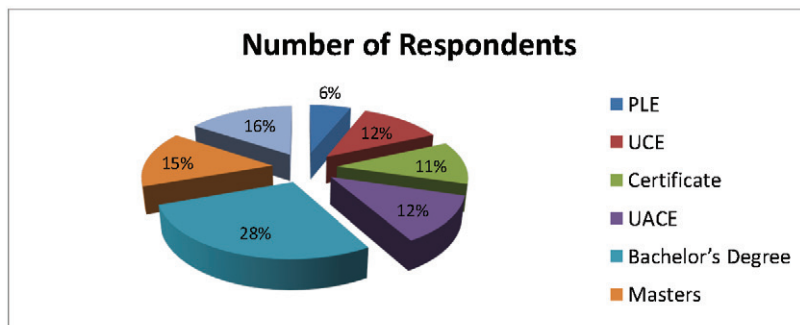
Analysis of education status was considered important because a basic education is necessary for persons to take advantage of most gainful opportunities available in the oil and gas sector. Also persons with a basic education are a highly trainable resource in order to en-skill and orient them to any sector. Additionally, levels of education help in the internalization of policy provisions and articulation of sector issues.

Table: 4.1.4 Education Level of the Respondents.

Education level	Frequency	Percent	Cumulative Percent
PLE	7	6.0	6.0
UCE	14	12.0	18.0
Certificate	13	11.0	29.0
UACE	14	12.0	41.0
Degree	32	28.0	69.0
Masters	17	15.0	84.0
Others	18	16.0	100
Total	115	100.0	

Source: Primary data (2017)

Pie Chart 4.1.4 Education Level of Respondents



Source: Primary data (2017)

Pie Chart 4.1.4 is a vivid representation of the various categories of education of the respondents. 6% were Primary School Level Exams (PLE) certificate holders; 12% were Uganda Certificate of Education (UCE) holders; 11% were certificate holders in technical skills as well as teaching; 28% were Bachelor's degree holders; 15% were holders of Master's Degrees while others did not disclose their levels of education. In general, respondents were found able to articulate sector issues even for community members whose levels of education were not up to a Bachelor's degree or a level able to express them-selves in Basic English.

4.2 Recruitment of Personnel for Participation in the Oil and Gas Sector Companies

According to statistics in table 4.2.1, during the period under review, it was observed that the proportion of Ugandans employed in the oil and gas sector rose was 68% in 2012, fell to 67% in 2013 and rose to 80% in 2014. Although the nature of work and earnings of Ugandans remained comparatively lower than that of foreign expatriates or even at decision making levels of management even if ratios of foreign expatriates increased slightly and then fell drastically over the period because in 2012, they constituted 31%; 2013, 32%; and in 2014, 20%. **However, on the overall**, this is a welcome development in anticipation of more effective participation in the future.

Table 4.2.1. Nationals and Expatriates Employed by the Oil Companies

Oil company	TOTAL NUMBER OF EMPLOYEES			NATIONALS			EXPATRIATES		
	2012	2013	2014	2012	2013	2014	2012	2013	2014
CNOOC	91	120	123	57	78	87	34	42	36
TEP	195	244	166	98	123	125	97	121	41
TUOP	184	182	143	168	169	135	16	13	8
TOTAL	470	546	432	323	370	347	147	176	85

Source: OAG analysis of National Content Reports from oil companies for 2012-2014

In terms of individual companies, a proportional increase of nationals was also noted, although with varying degrees of national employment with CNOOC ranging from 63% to 71%; TEP, 50% to 75%; and TUOP, 91% to 94%. Although CNOOC had increased the total number of employees recruited over the years from 91 to 123, TEP and TUOP had reduced their total workforce over the years. The reduction was attributed to reduced levels of activities due to delayed approvals, by

government, of their production licenses. It was noted that GoU had not set targets for the required statutory ratios of Ugandan to Foreign employees for oil companies. So without set measurable targets, it was not clear whether the levels of employment are on course with Government’s recruitment programme for Ugandans in the oil and gas sector.

4.2.2 Local Company Participation in the Oil and Gas sector of Uganda

Information collected on citizens and indigenous company participation was tabulated and is presented as below:

Table 4.2. Local Companies and Citizens Participation in the Oil and Gas sector of Uganda

Company	Category of suppliers	2010 USD	2011 USD	2012 USD	2013 USD	TOTAL USD
TULLOW	Ugandan	32,780,318	62,168,449	67,842,261	23,530,000	186,321,028
	International oil company registered in Uganda	-	-	-	54,560,000	54,560,000
	International	99,171,458	203,439,576	139,974,188	8,300,000	450,885,222
	Total	131,951,776	265,608,025	207,816,449	86,390,000	691,766,250
	% Ugandan	25%	23%	33%	27%	27%

Total E&P	Ugandan		38,800,000	71,040,000	109,840,000
	International oil company registered in Uganda		61,500,000	182,500,000	244,000,000
	International		8,000,000	14,600,000	22,600,000
	Total		108,300,000	268,140,000	376,440,000
	% Ugandan		36%	26%	29%

CNOOC	Ugandan	21,859,831	11,869,118	33,728,949
	International oil company but registered in Uganda	7,525,590	-	7,525,590
	International	35,870,169	26,494,547	62,364,716
	Total	65,255,590	38,363,665	103,619,255
	% Ugandan	34%	31%	33%

Total amount spent	131,951,776	265,608,025	381,372,039	392,893,665	1,171,825,505
Total paid to Ugandan Suppliers	32,780,318	62,168,449	128,502,092	106,439,118	329,889,977

Source: OAG, analysis of procurement by oil companies 2017

Further analysis of the data in Table 2 showed that on average, 26% of procurements were sourced from international companies although registered in Uganda while 46% were from International companies registered from without Uganda. Each company had a varying degree of procurements from Ugandan companies i.e. TUOP 27%, TEP 29% and CNOOC 33%. However, these proportions would be lower if the scope of the definition of Ugandan Company was limited to companies owned by Ugandan citizens. For example, in 2012, a sample of CNOOC suppliers reviewed showed that many companies participating in procurements worth USD11,679,665, almost 20% of the total procurements value, were identified as local, well as they were actually International companies registered in Uganda. This leaves approximately 18% that can be considered as national content by CNOOC for that year. Since the definition of Ugandan goods/services is not clear in the Petroleum law, there is no guarantee that even those companies which are Ugandan actually delivered Ugandan goods.

4.2.3. Capacity Development, Local Company and Citizens participation in the Oil and Gas sector of Uganda

115 respondents expressed their exposure concerning the relationship between **Capacity Development**, Local Company and Citizens participation in the Oil and Gas sector of Uganda and these were from various government departments as outlined in the methodology on page 17. Skills mentioned as necessary were: Health and safety skills which are broken down into, Emergency First Aid, Fire Training, Manual Handling Skills, Risk Assessments, Working at Heights, and Lifting Operations. environment awareness and waste management, Forklift Operations, Telescopic Handler Operations, Mobile Scaffold and Defensive Driving. On the overall respondents emphasized the importance of equipping Ugandans with the above skills and more, as very vital for their relevance for the sector and impacts on their increased participation.

4.2.4 Training and Support Infrastructure for Capacitating Local Companies and Citizens Participation

Respondents rated the relationship as agreed and strongly agreed for training and support infrastructure as a prerequisite for enhanced citizens 'participation. They also asserted that various stakeholders should be allowed to make their contributions in this infrastructure for instance in terms of running **programs in established institutions'** for Welding and NDT,(Non-destructive testing), testing and commissioning, damage assessment, pigging, inspections and pressure safety, marine, High voltage safety training, Hazardous area Electrical training, Regulatory inspection platform, customized Electrical safety and competence course ,Rig inspection workshop(IADC) (International Association of rig contractors), occupational based training ,civil construction plant operations and oil and gas exploration trainings.

Respondents proposed infrastructure such as Universities, Vocational Institutes, and Tertiary Institutions. Some proposed introductory courses with various and relevant levels of content at regular primary, secondary and higher levels of the country's education system.

4.2.5. Financial and Technical Capacity and Promotion of Participation

The researcher discovered that the respondents were in strong agreement with technical and financial capacity as a fundamental necessity for promoting participation of local companies and citizens in the oil and gas sector. The respondents observed that sufficient technical experience is considered 15 years and above for personnel and companies to understand and efficiently participate in the sector business. Also, joint ventures with more experienced international sector firms were mentioned as a key technical support feature for local companies and personnel. The

joint venture was explained to span beyond know-how to in project management; and health and safety to areas like adoption of appropriate technology. Since the associated technology and logistics involve colossal sums of money, it would be prudent for support infrastructure to include finance provisions to support participation. Respondents indicated that it is vital for Government to guide on procurements for the sourcing of appropriate technology and provision of funding mechanisms for investment and operations relevant to the sector let alone joint venture approach. Additionally, respondents indicated that government MDAs needed to guide and support indigenous companies on land procurements, licensing, insurance, logistics, environmental impact assessments, as well as risks and mitigation.

4.2.6 Preferential tax regime and other fiscal provisions are necessary for increasing participation of local companies and citizens in the oil and gas sector of Uganda

The respondents agreed and strongly agreed with preferential tax regime and other fiscal provisions as a necessity for local companies and citizens to participate in oil and gas sector. The kind of preferential tax regime and other fiscal provisions that are necessary for increasing participation of local companies and citizens in oil and gas sector of Uganda expressed include:

Tax rates on Profit and Dividends

The low tax rates of the profit tax and the tax on dividends are a type of tax incentive used to encourage direct investment. This tax incentive may be applied equally for all oil and gas local company taxpayers, regardless of the region or the economic branch in which they operate. This reduces the operating costs of the company and employs many nationals.

Reduced tax rates

Reduced tax rates, lower than the standard ones, are used to attract direct investment in specific economic branches or regions. These rates may apply to income from certain sources or to companies, which meet predetermined criteria i.e. employing more people from oil rich region of *Albertine Graben*.

Tax holidays Tax holidays are a type of tax incentive with a limited period of Validity, used to attract investment. The incentive may be in the form of exemption from taxation or assigning of tax. This type of incentive is targeted mainly at newly-established companies, which are exempt from profit tax for a certain period of time, usually 5 years. In some cases this period can be

extended by subsequent period during which a reduced tax rate is applied. Respondents asserted that such an action would catalyze the growth of local participating companies.

Tax Credits and Aid

Investment tax credits and aid are types of tax incentives for attracting investment based on a percentage of the value or the whole value of the investments made. These are incentives over and above the tax depreciation of long-term assets. Investment tax credit reduces directly the amount of the profit tax owed. Investment aid reduces the tax base for determining the profit tax.

Accelerated Tax Depreciation

Accelerated tax depreciation is a type of tax incentive for attracting investment and in its substance is a deferral of the payment of profit tax by recognizing a higher amount of depreciation costs, recognized for tax purposes, for the corresponding years while complying with certain conditions regarding assets.

Tax loss carry forward

The tax loss carry forward is a type of tax incentive for attracting high-risk investments especially during exploration phase, related to uncertain returns and generating considerable loss during the first years of the investment. The tax treatment of the loss can be in different forms namely: carrying of the loss forward to future tax periods or back to prior tax periods; the carrying of losses forward or back with regard to limited or unlimited timeframes, as well as in different percentages.

4.3. Proposed number of Sector Local Companies and Citizens

The respondents, basing on technical and financial capacity at present affixed 1000 local companies putting into consideration that local companies must joint venture with international companies which have technical and financial capacity but with provisions for growing the numbers as the sector grows in scale of operations. Based on the IBS technical respondents affixed that the number of citizens employed in the sector in 2013 to 546; they indicated a decline in the nationals employed in the sector down to 432 – the responsibility for which was the delayed issue of production licenses by the government. They noted an increase in the number of nationals in the years that followed, with a marked 710 nationals. But according to industrial survey conducted by joint venture partners, the oil sector has a capacity to create 150,000 jobs both direct and indirect at the commencement of production.

4.4 External Factors

The respondents observed that according to their experience, the level of responsiveness to contract adherence by international oil and gas companies to providing citizen participation is still low compared to projections the government had planned to achieve by 2014-18 in regard to citizens ready to participate in oil and gas in terms of training, certifications and employment. Respondents expressed that exploration and production companies were ready for production but were delayed by government in the issuing of production licenses. They were bogged down by and undeveloped infrastructure like roads, pipelines and refinery which were according to policy and agreements were the responsibility of GoU.

4.5 Correlation

A correlation analysis was done using SPSS (Statistical Package for Social Sciences) between the independent and dependent variables and is displayed in Appendix II. In analyzing the sample size responses a significant correlation was revealed between the independent variables: (skills development curriculum for Uganda nationals; availability of Training and Support infrastructure for Uganda Citizens (in terms of Existence of Technical and Financial Capacity Enhancement facilities for local companies); Preferential tax regimes; and other provisions providing for increased participation)); and the dependent variables (The number of local companies participating in the Oil and Gas sector and the size of transactions accorded to citizens and local companies; and The number of citizens employed in oil and gas sector). Respondents also scored exogenous variables as significant to the relationship and of fundamental importance in the relationship and worthy of key policy attention and these were: Contract adherence by International Oil and Gas companies and Readiness of National Oil and Gas Companies to embrace local content. All correlations were significant at the 0.01 level (2-tailed) and asserted here is that the sample size utilized accorded a 95% confidence level.

CHAPTER FIVE

RECOMMENDATIONS AND CONCLUSIONS

5.0 Introduction.

This chapter recommends a strategic approach that stakeholders and GoU ought to pursue in order to ensure maximum and gainful participation of citizens and local companies in the oil and gas sector. This is vital because it will be part of the key evidences left of the gains form the sector after the oil and gas resource is exhausted and other sectors are left to continue supporting the economy. So the prosed strategy is important for generating an impetus to sustainably driving economic growth. The strategic thoughts are derived from expressions of technical persons from the respondent group as well as all other stakeholders as enlisted in the sample content¹.

5.1. Capacity Development, Local Company and Citizens participation in the Oil and Gas sector of Uganda

The study recommends national skills needs assessment for the oil and gas sector by GoU machinery or perhaps through contracting experienced international auditing firms to accomplish the task. Additionally there is need for urgent curriculum development to allow for increased participation in the sector for citizens and local companies. However, the study suggest skills enhancement in health and safety skills which can be broken down into: Emergency First Aid; Fire Training; Manual Handling Skills; Risk Assessments; Working at Heights and Lifting Operations; Environment awareness and waste management; Forklift Operations; Telescopic Handler Operations; Mobile Scaffold; and Defensive Driving. It is recommended that local companies be equipped with sector Business Ethics (BE); Corporate Social Responsibility (CSR); and Exposure of local company operations successes in other oil resourced countries for the benefit of sharing and adoption of best practices.

The case for capacity enhancement of local companies need not be formal classroom capacity teaching but could be formatted into certified experience sharing and adoption of best practices sessions led by sector Civil Society, GoU, Development Partners, and leading Oil Companies. Other recommendations involve integrating oil and gas curricular into regular education levels but with varying and relevant content appropriate for students to understand and appreciate. Such regular levels could be Primary, Secondary, Higher and University. The products of such training

¹ See Sample size and Content Table, page 28

would then be highly trainable graduates who will consequently cost the sector players less to orient.

5.2 Training and Support Infrastructure for Capacitating Local Companies and Citizens Participation

In the case of establishing training and support infrastructure, it is recommended that sector players led by Government build sector support infrastructure like schools, colleges, roads, communication, hospitals, and social protection institutions. These will not only support capacity building to deliver the above skills needs but will sustainably facilitate operations. Also Government has to provide guidance through NPA or other relevant MDAs in procurements for the sourcing of appropriate technology and provision of funding mechanisms for investment and operations relevant to the sector other than the possibility of joint ventures of varying nature. It emphasized here that relevant MDAs need to develop systems and procedures to guide and support indigenous companies on land procurements, licensing, insurance, logistics, environmental impact assessments, as well as risks and mitigation.

5.3 Preferential tax regime and other fiscal provisions

Institution of preferential tax regimes and fiscal provisions are recommended for the promotion of local companies and citizens participation and constitute: tax rates on profits and dividends; Tax holidays; Tax Credits and Aid; Accelerated Tax Depreciation; and Tax loss carry forward

5.4. Proposed Participation Ratios for Citizens and Local Companies

It is recommended that ratios are continuously reviewed by the Parliamentary sector committee on oil and gas to reflect promotion of the desired accelerated participation nevertheless participation ratios should be increased at reasonable and safe rates as local participants gain experience. Key basis for consideration should be the promise of efficiency and effectiveness by local players.

5.5 Continuous and Regular Sector Reviews

The government through MEMD should undertake regular holistic surveys which encompass the entire oil and gas value chain i.e. exploration, development and production. This will help to establish any gaps so as to determine the necessary support to local suppliers both in the short and long-term.

The government through MEMD, in collaboration with the MoFPED, is urged to consider providing financial incentives to local companies to increase their ability to raise the required capital and participate in the oil and gas sector

The respondents recommended that The MEMD is urged to make sure upstream Local Content regulations are established relatively soon, amongst others to clarify the definition of a Ugandan company, Ugandan goods and services, and the conditions for joint ventures, consistent with the law.

The respondents recommended that Government has to put in place institutional frameworks to ensure National Content development in the oil and gas sector, specifically during the development phase where the bulk of the opportunities are. This framework must give first priority of employment and supply of goods and services to Ugandans. Where capacity is lacking, Government can work with the development partners and the private sector to build the necessary capacity of Ugandan citizens and companies to benefit from the available opportunities. This can be undertaken in line with the workforce skills development strategy and plan and the industrial baseline study. Some of the efforts may include, Regulating in-flow of expatriates into the country, supporting national enterprises to acquire contracts for goods and service provision, Emphasizing capacity building and enhancing the capacity of Ugandan institutions to provide required training at all levels. Dissemination of information on the oil and gas industry requirements such as manpower and services among others, Putting in place an Enterprise Enhancement Center to raise the standards of businesses and entrepreneurs, Development of a National Suppliers' Database and a National Talent Register, Development of standards for goods and services reserved for Ugandans among other measures, Planning for an Agriculture Support Development program.

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APPENDIX 1: CONFIDENTIAL RESEARCH QUESTIONNAIRE

Appreciation: Thanks a lot for accepting to participate in this study and rest assured that you will be making an immense contribution to the lives of many Ugandans

Theme: “Enhancing National Capacities for the Promotion of Citizens’ Participation In The Oil And Gas Sector Of Uganda”

Purpose: Academic and in fulfillment of a Bachelor’s Degree in Oil and Gas Accounting at Victoria University, Kampala, Uganda

Key Objective: To promote participation of local companies and citizens in the Oil and Gas sector of Uganda

Required: Please participate in this exercise to help promote the above well deserving objective by responding to the very brief questions below

Confidentiality: Individual respondents’ feedback will be kept confidential and only the research report that **does not individualize responses** will be shared with sector stakeholders

Method of Response: For section 1, please respond to the question and tick the option relevant to you

For section 2, please respond briefly but clearly in a few words or phrases

For section 3, please respond briefly but clearly in a few words or phrases

SECTION 1: BIODATA OF RESPONDENTS

1.10. Gender

Male () female ()

1.20. Age

20-30 () 31-40 () 41-50 () 51-60 ()

1.30. Please name the Organization for which you work.

.....

1.31. Official from government relevant Ministries Departments and Agencies (MDAs) ()

1.32. Officials from Oil Exploration and Production Companies ()

1.33. Citizens employed in the sector ()

1.34. Citizens from local communities ()

1.35. Academia and Research Agencies ()

- 1.36. Members of Oil Sector Civil Society Advocacy groups ()
- 1.37. Members of indigenous Private Sector Companies engaged in oil and gas ()
- 1.38. Members of parliament responsible for the oil and gas sector and other initiative enlisting interested and participating Ugandans and associated skills needs for the sector i.e. Cooper and Lybrand – CNOOC Initiative of parliament responsible for the oil and gas sector ()
- 1.39. Development partners funding the oil and gas sector advocacy ()
- 1.40. Length of service**
- Less than 1 year () 1-5 years () 5-10 years () above 10 years ()

SECTION 2: CAPACITY ENHANCEMENT OF LOCAL COMPANIES AND CITIZENS

2.10. Capacity development is necessary for local companies and citizens opting to participate in the oil and gas sector of Uganda

Strongly Agree () Agree () Disagree () Strongly Disagree ()

2.11. If so, what skills would you recommend for local companies and citizens to acquire?

.....

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.....

2.12. Training and support infrastructure for capacitating local companies and citizens is necessary for promoting gainful participation of local companies and citizens in the oil and gas sector of Uganda

Strongly Agree () Agree () Disagree () Strongly Disagree ()

2.13. If so, what kind of training structures would you recommend for establishment by GoU, Oil Companies, Civil Society Organizations, development partners, Regional Trading Blocs, Private Sector Foundation, Uganda Manufacturers Association etc.

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2.14. Technical and Financial Capacity is necessary for promoting the participation of local companies and citizens in the oil and gas sector of Uganda
Strongly Agree () Agree () Disagree () Strongly Disagree ()

2.15. If so, what kind of Technical and Financial Capacity is necessary for promoting the participation of local companies and citizens in the oil and gas sector of Uganda?
.....
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2.16. Preferential tax regime and other fiscal provisions are necessary for increasing participation of local companies and citizens in the oil and gas sector of Uganda Strongly Agree () Agree () Disagree () Strongly Disagree ()

2.17. If so, what kind of preferential tax regime and other fiscal provisions are necessary for increasing participation of local companies and citizens in the oil and gas sector of Uganda?
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.....

SECTION 3: PARTICIPATION OF NATIONALS IN OIL AND GAS SECTOR

3.10. What figure or ratio would you affix as sufficient to the number of local companies participating in the Oil and Gas sector of Uganda?
.....
.....

3.11. What figure or ratio would you affix to the number of citizens employed in oil and gas sector of Uganda?
.....
.....

SECTION 4: EXTERNAL FACTORS

4.10. What in your experience is the level of responsiveness of contract adherence by International Oil and Gas to providing for increased participation of local companies and citizens in the Oil and Gas sector of Uganda?
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4.11. What in your experience is the level of readiness at oil and gas companies to commence with production for the sector?

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SECTION 5: RECOMMENDATIONS

5.10. What recommendations would you propose for GoU to opt for in a bid to increase participation of local companies and citizens in the oil and gas sector of Uganda?

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APPENDIX II: CORRELATION ANALYSIS BETWEEN INDEPENDENT AND DEPENDENT VARIABLES

Correlations			
		Skills Development Curriculum for Uganda Nationals	The number of citizens employed in oil and gas sector
Skills Development Curriculum for Uganda Nationals	Pearson Correlation	1	1.000**
	Sig. (2-tailed)		.000
	N	115	115
The number of citizens employed in oil and gas sector	Pearson Correlation	1.000**	1
	Sig. (2-tailed)	.000	
	N	115	115

** . Correlation is significant at the 0.01 level (2-tailed).

Correlations			
		Skills Development Curriculum for Uganda Nationals	The number of local companies participating in the Oil and Gas sector
Skills Development Curriculum for Uganda Nationals	Pearson Correlation	1	1.000**
	Sig. (2-tailed)		.000
	N	115	115
The number of local companies participating in the Oil and Gas sector	Pearson Correlation	1.000**	1
	Sig. (2-tailed)	.000	
	N	115	115

** . Correlation is significant at the 0.01 level (2-tailed).

Correlations

		Availability of Training and Support infrastructure	The number of local companies participating in the Oil and Gas sector
Availability of Training and Support infrastructure	Pearson Correlation	1	1.000**
	Sig. (2-tailed)		.000
	N	115	115
The number of local companies participating in the Oil and Gas sector	Pearson Correlation	1.000**	1
	Sig. (2-tailed)	.000	
	N	115	115

** . Correlation is significant at the 0.01 level (2-tailed).

Correlations

		Availability of Training and Support infrastructure	The number of citizens employed in oil and gas sector
Availability of Training and Support infrastructure	Pearson Correlation	1	1.000**
	Sig. (2-tailed)		.000
	N	115	115
The number of citizens employed in oil and gas sector	Pearson Correlation	1.000**	1
	Sig. (2-tailed)	.000	
	N	115	115

** . Correlation is significant at the 0.01 level (2-tailed).

Correlations

		Contract adherence by International Oil and Gas companies	The number of local companies participating in the Oil and Gas sector
Contract adherence by International Oil and Gas companies	Pearson Correlation Sig. (2-tailed) N	1 115	1.000** .000 115
The number of local companies participating in the Oil and Gas sector	Pearson Correlation Sig. (2-tailed) N	1.000** .000 115	1 115

** . Correlation is significant at the 0.01 level (2-tailed).

Correlations

		Contract adherence by International Oil and Gas companies	The number of local companies participating in the Oil and Gas sector
Contract adherence by International Oil and Gas companies	Pearson Correlation Sig. (2-tailed) N	1 115	1.000** .000 115
The number of local companies participating in the Oil and Gas sector	Pearson Correlation Sig. (2-tailed) N	1.000** .000 115	1 115

** . Correlation is significant at the 0.01 level (2-tailed).

ITEM	DISCRIPTION	AMOUNT IN USHS
Transport	Bbunga, Kalungu to PAU offices in Entebbe, Total E@P and CNOOC Uganda. (Provisional sum)	300,000
Printing & Binding	Provisional sum	50,000
Meals	Meals per day Ushs5,000 for 90 Days	450,000
Stationery	Pencils ,book and note book	50,000
TOTAL		850,000

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